



ARKANSAS ELECTRIC COOPERATIVE CORPORATION

Reliable • Affordable • Responsible

COMPREHENSIVE HOME ENERGY SAVING SOLUTIONS (CHESS) PROGRAM

TERMS & CONDITIONS

These terms and conditions are only valid for Application Forms accepted on or after January 1, 2022. Arkansas Electric Cooperative Corporation (AECC) reserves the right to change any CHES Program requirement, incentive, or term and condition, including but not limited to the suspension of Application Forms or cancellation of the CHES Program, at any time without further notice.

CHESS PROGRAM: The CHES Program is limited to (a) an energy efficiency inspection, (b) the installation of approved Energy Efficiency Home Improvements, and/or (c) in limited circumstances, the provision and installation of certain equipment purchased from AECC (all collectively referred to as Services).

ELIGIBILITY: Eligibility is subject to and conditioned upon the following: (a) Participant is a residential member of a participating Arkansas member electric cooperative, (b) Participant agrees that Services will be installed or provided by an approved Trade Ally, (c) Participant consents that the Trade Ally may remove and dispose of any equipment being replaced by the Services, and (d) Participant warrants that it will not engage in inappropriate or unsafe behavior towards the Trade Ally, as determined in the Trade Ally's sole discretion.

AUTHORIZATION AND RIGHTS: Participant represents that s/he has the right to authorize Services on the property on which those measures are completed and/or installed and that any necessary landlord's consent has been obtained. Participant grants AECC, Trade Ally and Trade Ally's subcontractors the right to (a) enter onto Participant's property, (b) place signs on the property concerning Participant's participation in the CHES Program, (c) make such improvements as authorized by Participant, and approved by AECC, (d) inspect Participant's energy records both before and after the improvements are made for the purposes of comparison, (e) record the progress of such improvements, and (f) other activities as needed and determined by AECC and the Trade Ally.

PAYMENT: Only Trade Allies may submit Application Forms for incentive consideration. In AECC's sole discretion, AECC will pay for all or a portion of the Trade Ally's preapproved cost for the installation or provision of Services, including costs associated with the installation of certain equipment purchased by the Participant from AECC. Funds for Services are limited on a first-come, first-served basis, and payment is conditioned upon the availability of funds. Prior to any payment, AECC

reserves the right to (a) require a completed and accurate Application Form and other additional information as determined necessary in AECC's sole discretion, and (b) verify the installation or provision of Services at the Participant's residence.

TAX LIABILITY: AECC will not be responsible for any tax liability that may be imposed on the Participant as a result of the provision or installation of any Service. The Participant is responsible for declaring and paying any and all applicable federal, state and local taxes that may be owed on any Service.

COMPLIANCE: AECC will bear no responsibility to verify that the installed Services meet all applicable building codes; zoning laws; local, state and federal requirements; or other relevant requirements, and will not be responsible for applicable permits as required by law. These matters should be discussed and addressed with the Participant and the Trade Ally.

USE OF INFORMATION: AECC and the Participant's member electric cooperative may (a) include Participant's name, address, account number, energy usage history, and any CHES documents and resulting energy savings, in reports or other documentation submitted to the Arkansas Public Service Commission; (b) use and disclose Participant information in aggregate and anonymous form; and/or (c) use Participant information for AECC internal business purposes.

MINI-SPLIT HEAT PUMP SELF-INSTALLATION: Eligibility for reimbursement for Mini-Split Heat Pumps (Mini-Split) shall be limited to Participant(s) who (a) qualify under program guidelines; (b) purchase a Mini-Split from AECC; (c) install the Mini-Split within sixty (60) days of delivery; and (d) provide proof of installation within (90) days of delivery. Participant shall provide photographic evidence of each Mini-Split Heat Pump that is installed. Proof of installation shall be submitted to AECC within 90 days of delivery. Participant(s) who fail to install and provide proof of installation of the Mini-Split shall return the Mini-Split in new and unused condition to AECC or the Mini-Split shall be paid in full.

LIMITATION OF LIABILITY: AECC'S LIABILITY TO THE PARTICIPANT AND THE TRADE ALLY IS LIMITED TO PAYING THE TRADE ALLY FOR ALL OR A PORTION OF THE PREAPPROVED COST TO PROPERLY INSTALL OR PROVIDE SERVICES. IN NO EVENT WILL AECC, OR ITS MEMBER COOPERATIVES, BE LIABLE WHETHER

IN CONTRACT, TORT (INCLUDING NEGLIGENCE), STRICT LIABILITY, WARRANTY OR OTHERWISE, FOR DIRECT, INDIRECT, SPECIAL, INCIDENTAL OR CONSEQUENTIAL DAMAGES CONNECTED WITH OR RESULTING FROM (a) THE PARTICIPANT'S PARTICIPATION IN THE CHESS PROGRAM, (b) ANY SERVICES INSTALLED OR PROVIDED BY A TRADE ALLY, (c) ACTION, INACTION, OR WORKMANSHIP OF THE TRADE ALLY, AND/OR (d) ANY DEFECT, ERROR, FAULT, OR FAILURE OF A SERVICE, WHICH SPECIFICALLY INCLUDES ANY AND ALL EQUIPMENT PURCHASED BY THE PARTICIPANT FROM AECC, EVEN IF AECC HAS BEEN ADVISED OF THE POSSIBILITY OF SUCH DEFECT, ERROR, FAULT, OR FAILURE. PARTICIPANT ACKNOWLEDGES THAT IT HAS BEEN ADVISED BY AECC TO UNDERTAKE ITS OWN DUE DILIGENCE WITH RESPECT TO THE SERVICES, INCLUDING EQUIPMENT PURCHASED BY THE PARTICIPANT FROM AECC.

WARRANTIES: AECC makes no representations or guarantees, and grants no warranties, express or implied, either in fact or by operation of law, by statute or otherwise, regarding (a) the proper engineering, design, installation or performance of any Service, (b) that the Services, including specifically any and all equipment purchased by the Participant from AECC, will be free from any defect, error, fault or failure, (c) the workmanship of the Trade Ally, (d) that the Services will comply with applicable laws, regulations, codes, ordinances or industry standards, and/or (e) any energy savings results. AECC specifically disclaims all other warranties, written or oral, express or implied, including any warranty of quality, merchantability or fitness for a particular use or purpose or any warranty as to the validity of any patent or the non-infringement of an intellectual property rights.

RELEASE: Participant hereby releases, holds harmless, and indemnifies AECC, its participating member cooperatives, and each of their respective officers, directors, agents, representatives, employees, Trade Allies, contractors, successors, assignees, and licensees (herein the "Released Parties") from any and all claims, actions, damages, liabilities, losses, costs and expenses of any kind (including, without limitation, attorneys' fees) arising out of, or in any way related to (a) Services installed or provided, including specifically any and all equipment purchased by the Participant from AECC, (b) action, inaction, and the workmanship of the Trade Ally, (c) AECC or the Trade Ally's use of the Participant's residence, (d) use of Participant's likeness or the material or information supplied by Participant in connection with Participant's entry in the CHESS Program, and/or (e) the exercise by AECC of any rights granted by Participant hereunder.

ENTIRE AGREEMENT: These terms and conditions constitute the agreement between the parties and supersede all other communications and representations. If any term of these

terms and conditions shall be held invalid, the remainder shall not be affected by such invalidity.

DISPUTE RESOLUTION: These terms and conditions will be construed and interpreted according to the laws of the State of Arkansas. Any dispute arising under these terms and conditions shall be submitted to mediation in Pulaski County, Arkansas. If mediation fails, then final resolution of any claim or controversy shall be made before a court of law in the Pulaski County, Arkansas. Each party shall bear its own costs, fees and expenses (including attorney fees) during any and all stages of dispute resolution.

PARTICIPANT'S CERTIFICATION: Participant certifies that s/he has contracted for the received service(s) listed on the Application at the defined location. Participant agrees that all information is true and that s/he has conformed to all CHESS requirements.

I/WE, the undersigned, acknowledge and agree to be bound by these terms and conditions.

Participant

Signature

Print name

Address

Date

Landlord (if applicable)

Signature

Print name

Address

Date